

Using Mutual Funds to Build a Retirement Corpus

Retirement planning is less about finding the perfect investment and more about giving your money enough time to grow.

Retirement, for most Indians, arrives without much preparation. Provident fund contributions accumulate quietly; a fixed deposit is opened when a bonus turns up; and planning for decades without a salary is often postponed. Mutual funds offer a more intentional approach, increasingly used not as a speculative flutter but as one of the building blocks of a retirement plan.

The appeal begins with compounding, that unglamorous force which rewards patience over cleverness. A modest sum invested monthly through a systematic investment plan (SIP) in one's twenties or thirties has decades in which to grow, with returns compounding along the way. Delay the start by ten years and a saver must set aside considerably more each month to reach the same destination. Time, not timing, does most of the work. SIPs also solve a behavioural problem. Left to their own devices, investors tend to buy when markets are buoyant and sell when they are not — the opposite of the discipline needed to invest successfully over the long term. A fixed monthly debit removes the need to make that decision every month, buying more units when prices fall and fewer when they rise. Over time, this creates an investment habit that is often sturdier than willpower alone.

How mutual funds fit alongside traditional instruments is equally important. The EPF and PPF provide government-backed savings with tax benefits, while the NPS adds a market-linked retirement component. Mutual funds can complement these instruments. Equity funds are generally the main growth engine in a long-term retirement portfolio. Debt funds, invested largely in bonds and money-market instruments, can play a role in capital preservation and meeting nearer-term needs. Hybrid funds combine equity and debt, and some may also invest in other asset classes. The right mix depends on the investor's age, risk



Venkatachalam Tirupati

Director

**Vaibhav Wealth & Allied Services
Private Limited**

“

“Building the corpus is only half the retirement plan; knowing how to draw it down matters too.”

”

tolerance, retirement goal and existing savings, rather than following a single formula.

A sensible portfolio should evolve with age. Investors can take greater equity

exposure early on and gradually increase debt and other relatively stable assets as retirement approaches, reducing volatility when there is less time to recover from a market fall.

Inflation is the quieter threat that retirement planning must address. A retirement lasting 25-30 years requires a corpus that can support withdrawals while continuing to grow. Fixed-income investments provide stability but may struggle to outpace inflation after tax over very long periods. Equities have historically delivered higher returns over long horizons, though they come with volatility and require the investor to stay invested through market cycles.

The drawdown phase deserves as much attention as the accumulation phase. Systematic Withdrawal Plans (SWPs) allow retirees to withdraw a chosen amount from an existing mutual-fund investment while the remaining corpus stays invested. Because each withdrawal involves redemption of units, the tax impact depends on the capital gain embedded in those units.

Taxation also matters because what an investor keeps after tax ultimately determines how much the retirement corpus can grow. Equity funds held for up to 12 months are taxed at 20%, while long-term gains above ₹1.25 lakh a year are taxed at 12.5%. Debt funds are taxed at the investor's slab rate, while hybrid funds are taxed according to their equity exposure and holding period. Over decades, choosing investments with an eye on both returns and tax efficiency can make a significant difference to the corpus available at retirement.

A retirement plan is tested when markets fall. Staying disciplined, keeping costs in check and avoiding recent winners give the corpus time to compound. Starting early matters, but so does adjusting the portfolio as retirement nears and planning withdrawals.